

Will India Develop into an Industrialised Country in the Foreseeable Future?

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On the question of India and Vietnam, there are not only differences in the perception of facts, but also differences in the perception of concepts.

Judging by the principal indicators of industrial material production, India's level of industrialisation lies somewhere between China's level of 2000 and 2005. For details, please see my other answer: "Is India Really Underestimated Domestically?"

Some people cite India's share of global industrial output to argue that India's industrialisation is far inferior to China's. Because output value involves far more complicating factors than actual material products, such comparisons across a gap of over twenty years easily go wrong. Still, let us try the comparison, in the hope of clearing up this doubt.

In 1990, China's manufacturing value added reached 116.573 billion US dollars, 2.7% of global manufacturing value added, which totalled 4,317.5 billion dollars.

In 2000, China's manufacturing value added was 625.2 billion dollars, about 8.6% of the global total of 7,174.2 billion dollars.

In 2005, China's manufacturing value added was 733.6 billion dollars; the global total was 7,672.26 billion dollars; China's share was about 9.6%.

In 2024, China's manufacturing value added was 4,711.06 billion dollars; the global total was 16.8 trillion; China's share was about 28%. India's manufacturing value added was 487.766 billion dollars, 2.9% of the world.

One 2000 dollar is roughly worth 1.8 dollars of 2024, so converting India's manufacturing value added to 2000 terms gives about 270.9 billion dollars — truly far inferior to China's 625.2 billion. But that is mainly because China grew too fast.

In 1998, China's manufacturing value added was 2,635.3 billion yuan, or 317.5 billion dollars. China jumped to fourth place in global manufacturing in 1997; the manufacturing GDP for that year I could not find, so taking industry as a whole at 8.9, it was about 291.5 billion yuan, roughly 5% of global manufacturing value added that year. Industrial output in 1997 rose 10% over 1996, so China's manufacturing output in 1996 can be roughly estimated at 265 billion dollars — very close to India's

2024 GDP after conversion. This year India has become the world's fourth-largest economy, with manufacturing in fifth place.

Setting aside the fall in the prices of some industrial goods due to technological progress, exchange rates, and similar factors, purely by output value India's manufacturing is somewhere between China's levels of 1995 and 2000. Though this estimate is imprecise and may undervalue India's industrial capacity, on the whole it still reflects India's standing. Because global manufacturing output has grown, India's share is lower than China's was then. The denominator grows while the numerator stays the same, so the ratio falls — easy to understand.

Thus, by manufacturing output value, India is at least at the level China reached 28 years ago (2024 minus 1996). India's manufacturing has grown more slowly than China's did in the same period: its manufacturing GDP growth currently fluctuates around 6%, while China's then fluctuated around 10%. Suppose India's manufacturing growth rate remains unchanged: India will need about 25 years to achieve what China achieved in 15 — that is, by 2050 it will reach roughly China's level of 2010. Considering India's strong services sector and diaspora remittances — which support the imports of equipment and technology needed for modernisation, fill the goods trade deficit, and accelerate domestic fixed-capital formation — India's overall level in 2050 should be comparable to China's between 2015 and 2020.

The above is a discussion of India's level of industrialisation at the level of fact. But many people's doubts about whether countries like India and Vietnam can industrialise, or whether they count as industrial countries at all, stem from the concept of an "industrial country" itself.

What country counts as an industrial country? According to Chinese history textbooks, when industry surpasses agriculture in a country's combined industrial and agricultural output, it may be considered an industrial country. China entered this stage in the early 1960s and so counted as an industrial country. By this standard, India certainly counts as an industrial country. But that only means crossing the threshold of industrial countryhood; it does not mean completing industrialisation.

The essence of industrialisation is replacing small-scale production with modern large-scale production, and the small-scale production of pre-modern society was concentrated mainly in agriculture. Hence the principal task of industrialisation is to shift the labour force from agriculture into other sectors. Accordingly, one commonly accepted criterion for completed industrialisation is that agricultural output value falls below 10% of GDP.

The moments at which the principal industrial countries completed this transition coincide with the generally accepted dates of their completed industrialisation:

China — early 2010s; Japan — late 1960s; Italy — early 1970s; South Korea — late 1980s; Britain — 1870s; the United States — roughly the 1940s to 1950s.

India's agricultural output is currently about 16% of GDP, close to China's level of 2000 (14.88%). China in 2000 was certainly an industrial country (no one should dispute that), but had not completed industrialisation — and India is naturally in the same position.

However, some people, seeing country after country industrialising, wish to "weld shut" the door of industrialisation and so raise the bar artificially. Industrialisation is no longer judged by steel output, electricity generation, or automobile production; one must look at high-speed rail, machine tools, advanced materials, premium bearings — in short, one must be able to manufacture high-end products like today's China. To these people we only ask: did China of 2000 count as an industrial country?

That is one type of person. Another type clings to the industrial system. They hold that without a complete industrial system a country is not an industrial country. And since no one will teach you an industrial system or sell you one — you must build it yourself — and no one after China can do such a thing, the door of industrialisation is thereby "welded shut." To people who argue this way, we ask: did China's electronics and automobile industries in the 2000s have a "system"? Even the chip industry's system is not complete even now — and has that hindered the development of China's chip industry over the past twenty years?

In the age of globalisation, production has already gone global: a country needs only to participate in the global industrial system and industrial chains to industrialise; it does not need to build an entire system from scratch. Of course, at some point, when late-developing countries begin high-end manufacturing, they may find themselves choked at the neck — but that is advanced industrial countries bullying late-developing industrial countries, not industrial countries bullying agricultural countries. And even while choking you, they do not give up doing business with you or investing in you, just as China's situation shows today. So this line of argument, too, does not fit the facts.

In short: we must seek truth from facts.

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